

CALLOWAY ENTERPRISES, INC.

Annual Report

For the Fiscal Year Ended November 30, Year 2

Selected Excerpts — Financial Statements and Notes

Incorporated under the laws of the State of New York

Principal Executive Offices: 220 Whitestone Boulevard, Rochester, NY 14618

Common Stock listed on the NASDAQ Global Select Market under symbol "CWAY"

Consolidated Statement of Operations

The following summary presents key components of the consolidated statement of operations for the fiscal year ended November 30, Year 2. All amounts are stated in U.S. dollars.

	FY Year 2	FY Year 1
Net sales	\$ 4,820,000	\$ 4,210,000
Cost of sales	(3,140,000)	(2,890,000)
Gross profit	\$ 1,680,000	\$ 1,320,000
Selling, general and administrative expenses	(1,182,000)	(951,000)
Operating income	\$ 498,000	\$ 369,000
Other income, net	\$ (170,000)	\$ (115,000)
Income before income taxes	\$ 328,114	\$ 254,000
Provision for income taxes (effective rate 30.0%)	(98,434)	(76,200)
Net income (no preferred stock outstanding)	\$ 229,680	\$ 177,800

The Company had no outstanding indebtedness or preferred stock during fiscal Year 2 or fiscal Year 1. Accordingly, net income equals net income attributable to common shareholders for both periods.

Selected Market Data (Common Stock). The average market price per common share for the fiscal year ended November 30, Year 2 was \$20.00 per share. The closing market price on November 30, Year 2 (fiscal year end) was \$30.00 per share.

Notes to the Consolidated Financial Statements

Note 6 — Earnings Per Share

(a) Common Share Activity. The following table presents activity in common shares outstanding during fiscal Year 2:

Description	Date	Shares	Cumulative Shares
Balance, November 30, Year 1	—	—	40,000
10% stock dividend (Note 6(b))	May 20, Year 2	4,000	44,000
Balance, November 30, Year 2	—	—	44,000

(b) Stock Dividend. On April 30, Year 2, the Board of Directors declared a 10% stock dividend payable to shareholders of record as of May 10, Year 2. The dividend was distributed on May 20, Year 2, resulting in the issuance of 4,000 additional common shares. In accordance with U.S. generally accepted accounting principles, the shares issued in connection with the stock dividend are deemed to have been outstanding from the beginning of fiscal Year 2 for purposes of the earnings per share computation.

(c) Stock Options. On June 1, Year 2, the Board issued non-transferable options to existing common shareholders entitling them to acquire one additional common share for each common share held. The exercise price under the options is \$6.00 per share. The options were immediately exercisable but expire on June 1, Year 4. As of November 30, Year 2, none of the options had been exercised. Accordingly, on a total-options-outstanding basis at fiscal year-end, 44,000 options were issued and outstanding.

(d) Accounting Policy. Basic earnings per common share (Basic EPS) is computed by dividing net income attributable to common shareholders by the weighted average number of common shares actually outstanding during the period. Stock options that have not been exercised during the period have no effect on the weighted average number of common shares outstanding used in the Basic EPS denominator. Diluted earnings per common share is computed using the treasury stock method as described in Note 6(f).

Notes to the Consolidated Financial Statements (continued)

Note 6 — Earnings Per Share (continued)

(e) Components of the EPS Computation. The following table presents the inputs to the computation of basic and diluted earnings per common share for the fiscal year ended November 30, Year 2:

Line Item	FY Year 2
Net income attributable to common shareholders (numerator)	\$ 229,680
Weighted average common shares outstanding — Basic (denominator)	44,000
Weighted average common shares outstanding — Diluted (denominator)	74,800
Effective income tax rate applied to taxable income	30.0%
Average market price per common share during the period	\$ 20.00
Closing market price per common share, November 30, Year 2	\$ 30.00
Stock option exercise price	\$ 6.00
Total stock options outstanding at November 30, Year 2	44,000

(f) Diluted EPS — Treasury Stock Method. For purposes of computing diluted EPS only, the assumed exercise of the 44,000 outstanding stock options is reflected through the treasury stock method. Under this method, the proceeds from the assumed exercise ($\$264,000 = 44,000 \text{ options} \times \$6.00 \text{ exercise price}$) are deemed to be used to repurchase common shares at the average market price for the period ($\$20.00$). The assumed repurchase yields 13,200 shares ($\$264,000 \div \20.00). The net incremental dilutive shares is therefore 30,800 (44,000 assumed issued less 13,200 assumed repurchased), giving a diluted weighted average share count of 74,800 ($44,000 + 30,800$). Diluted EPS was $\$3.07$ ($\$229,680 \div 74,800$).

(g) Prior Year Comparative. Basic earnings per common share for the fiscal year ended November 30, Year 1, restated to give retroactive effect to the May 20, Year 2 stock dividend, was $\$4.04$ ($\$177,800 \div 44,000$).